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**ECONOMICS**

**0455/21**

Paper 2 Structured Questions

**Predicted  
Advanced**

MARK SCHEME  
Maximum Mark: 90

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**Published**

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks.

Mark schemes should be read in conjunction with the question paper.

This predicted-paper mark scheme has been written to closely reflect the marking conventions used by Cambridge Assessment International Education for the Cambridge IGCSE™ Economics (0455) syllabus.

This document consists of 24 printed pages.

## **Generic Marking Principles**

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptions for a question.

### **GENERIC MARKING PRINCIPLE 1:**

Marks must be awarded in line with the specific content of the mark scheme, the skills defined, and the standard of response required.

### **GENERIC MARKING PRINCIPLE 2:**

Marks awarded are always whole marks (not half marks, or other fractions).

### **GENERIC MARKING PRINCIPLE 3:**

Marks must be awarded positively: credit is given for correct/valid answers; marks are not deducted for errors or omissions.

### **GENERIC MARKING PRINCIPLE 4:**

Rules must be applied consistently, including the use of generic level descriptors.

### **GENERIC MARKING PRINCIPLE 5:**

Marks should be awarded using the full range of marks defined in the mark scheme.

### **GENERIC MARKING PRINCIPLE 6:**

Marks awarded are based solely on the requirements as defined in the mark scheme.

## **Social Science-Specific Marking Principles**

*(for point-based marking)*

Point marking is used to reward knowledge, understanding and application of skills. Credit is given where the candidate's answer shows relevant knowledge, understanding and application of skills in answering the question. Credit is not given where the answer shows confusion.

- Alternative answers/examples which are not written in the mark scheme are credited if they are correct.
- Answers worded differently from the mark scheme are credited if they convey the same meaning.
- Slashes (/) or 'or' separate alternative ways of making the same point.
- Bullets, semi-colons or figures in brackets separate different points.
- A correct answer to a calculation is given full credit, even without supporting working, unless working is explicitly required.
- The 'own figure rule' applies where a candidate's previous incorrect figure is carried forward correctly.

### **Calculation questions**

The mark scheme shows the steps in the most likely correct method(s), the mark for each step, and the correct answer(s). If the candidate uses a valid method not covered by the mark scheme, award equivalent marks for reaching equivalent stages.

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Mark | Guidance                                             |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|------------------------------------------------------|
| 1(a)     | <b>Calculate, using the source material, the price elasticity of demand for German car exports to the USA.</b>                                                                                                                                                                                                                                                                                                                                                                                                                         | 1    | Accept 1.6 with or without the negative sign.        |
| 1(b)     | (–) 1.6 (1) (calculation: $-8\% \div 5\% = -1.6$ )<br><b>Identify two methods, other than tariffs, that the EU may use to restrict imports of Chinese EVs.</b>                                                                                                                                                                                                                                                                                                                                                                         | 2    | Any two; only accept first three given.              |
| 1(c)     | Import quotas (1)<br>Subsidies to domestic producers (1)<br>Anti-dumping duties (1)<br>Minimum import prices (1)<br>Administrative / regulatory barriers (1)<br>Embargoes (1)<br><b>Explain what is meant by dumping.</b>                                                                                                                                                                                                                                                                                                              | 2    | 1 mark for definition, 1 mark for elaboration.       |
| 1(d)     | Selling a good in an overseas market at a price below cost (1) or below the domestic price in the home country (1).<br>Often supported by government subsidies in the home country (1).<br><b>Explain two ways in which carbon pricing can reduce the external costs of pollution.</b>                                                                                                                                                                                                                                                 | 4    | Any two. 1 identify + 1 explanation.                 |
| 1(e)     | Internalises the external cost (1) polluting firms must pay for emissions so private cost aligns with social cost (1).<br>Raises the price of carbon-intensive goods (1) reducing demand for them (1).<br>Encourages firms to invest in cleaner technology (1) shifting supply toward greener production (1).<br>Creates an incentive to reduce emissions continuously (1) firms that cut emissions save permit costs (1).<br><b>Analyse the data in Table 1.1 to compare Germany's economic performance with the other countries.</b> | 4    | Must compare Germany to others with data + analysis. |
|          | Germany has the lowest unemployment (3.1%) but the lowest real GDP growth (– 0.3%) (1).<br>Germany has by far the largest current account surplus (+6.2%) (1).<br>Germany has the lowest government debt ratio (64%) compared with others (1).<br>Analysis: Germany faces slow growth despite fiscal                                                                                                                                                                                                                                   |      |                                                      |

health and low unemployment, suggesting structural problems (e.g. export dependency on China, energy costs) (1).

Analysis: Spain's high growth is accompanied by high unemployment, indicating jobless growth / hysteresis (1).

Analysis: The euro zone as a whole faces divergent performance which complicates ECB policy (1).

**1(f) Analyse, using a diagram, the effect of an anti-dumping duty on imported Chinese EVs on the German car market.**

5 Max 4 diagram + 2 written = 5. Accept tariff diagram on an import market.

Diagram:

Axes labelled price (P) and quantity (Q) (1)

Domestic demand (D) and supply (S) shown, world price ( $P_w$ ) shown (1)

Tariff added, raising import price from  $P_w$  to  $P_w + T$  (1)

Domestic output expands from  $Q_1$  to  $Q_2$ ; imports fall by  $Q_3$  minus  $Q_2$  (shaded area) (1)

Written analysis:

Higher prices discourage imports and expand domestic production; domestic producers gain, consumers lose; government gains tariff revenue; deadweight loss occurs (any 1 for 1 mark).

**1(g) Discuss whether or not a common monetary policy is suitable for all members of a monetary union.**

6 Up to 4 each side; max 6.

**Why it might / reasons for:**

- Removes exchange-rate uncertainty between members (1) boosting trade (1).
- Reduces transaction costs for firms and consumers (1).
- Imposes monetary discipline (1) anchoring inflation expectations (1).
- Provides credibility through an independent central bank (1).

**Why it might not / reasons against:**

- Members cannot set their own interest rate to suit their cycle (1) one-size-fits-all is problematic (1).
- Members cannot devalue to adjust to shocks (1) relying on wage flexibility (1).
- Asymmetric shocks (1) require fiscal transfers that may not exist (1).
- Loss of monetary sovereignty (1) constrains democratic choice (1).
- Without fiscal union, fiscal crises can undermine the common currency (1).

|      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |   |                           |
|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---|---------------------------|
| 1(h) | <b>Discuss whether or not an increase in immigration will benefit Germany.</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 6 | Up to 4 each side; max 6. |
|      | <p><b>Why it might / reasons for:</b></p> <ul style="list-style-type: none"> <li>• Offsets the effects of an ageing population (1) raising the working-age ratio (1).</li> <li>• Fills labour shortages (1) especially in healthcare, IT and manufacturing (1).</li> <li>• Raises tax revenue (1) as more workers contribute (1) funding public services (1).</li> <li>• Brings skills and entrepreneurship (1) raising productivity and innovation (1).</li> <li>• Boosts consumption and AD (1) supporting short-term growth (1).</li> </ul> <p><b>Why it might not / reasons against:</b></p> <ul style="list-style-type: none"> <li>• Short-term pressure on housing and public services (1).</li> <li>• If skills do not match demand (1) could raise structural unemployment (1).</li> <li>• Possible downward pressure on wages at the lower end (1) worsening inequality (1).</li> <li>• Social and political tensions (1) if integration is poor (1).</li> <li>• Remittances sent abroad reduce domestic demand (1).</li> </ul> |   |                           |
| 2(a) | <b>Define monopoly.</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 2 | Definition worth 2 marks. |
|      | <p>A market dominated by a single firm (1) often defined as more than 25% market share (1).</p> <p>Or: a market with high barriers to entry and a dominant seller (1) facing a downward-sloping demand curve (1).</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |   |                           |
| 2(b) | <b>Explain two possible drawbacks of monopoly for consumers.</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 4 | Any two.                  |
|      | <p>Higher prices (1) as monopolists restrict output to raise price (1).</p> <p>Less choice (1) as no close competitors exist (1).</p> <p>Lower quality (1) due to lack of competitive pressure (1).</p> <p>Less innovation (1) as the firm has no incentive to reduce cost (1).</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |   |                           |
| 2(c) | <b>Analyse reasons why a merger may benefit consumers.</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 6 | Coherent analysis.        |

Economies of scale (1) lower average costs (1) may pass on to consumers in lower prices (1).  
 Greater investment in R&D (1) leads to new products and innovations (1).  
 Wider range of products offered (1) a single platform provides one-stop access (1).  
 Network economies in streaming (1) larger customer base improves recommendations and content (1).  
 International reach (1) allows consumers access to more global content (1).

**2(d) Discuss whether or not a government should prevent large mergers.** 8 See Guidance table at the end of the mark scheme.

*In assessing each answer, use the table at the end of the mark scheme.*

**Why it might / reasons for:**

- Protects consumers from monopoly pricing and restricted choice
- Maintains competition, encouraging efficiency and innovation
- Prevents concentration of economic and political power
- Preserves small and medium enterprises and employment

**Why it might not / reasons against:**

- Large mergers can deliver economies of scale and scope
- Global competition may mean that even dominant domestic firms face strong rivalry
- Mergers may be needed to survive against foreign competitors
- R&D spending is often higher in larger firms
- Intervention may be costly and lead to regulatory capture or errors

**3(a) Identify two types of external benefit from the use of EVs.** 2 Any two.

Lower air pollution / better air quality (1)  
 Reduced carbon emissions / climate impact (1)  
 Less noise pollution (1)  
 Lower demand for oil imports / energy security (1)

**3(b) Explain two reasons why a government may subsidise merit goods.** 4 Any two.

Merit goods are under-consumed (1) consumers under-estimate the private benefit (1).  
 External benefits exist (1) social benefit exceeds private benefit (1).  
 Equity concerns (1) ensures access for low-income households (1).  
 To achieve long-term policy goals e.g. a net-zero economy (1) requires switching to greener products (1).

**3(c) Analyse, using an appropriate diagram, how a subsidy affects a market.** 6 Max 4 diagram + 2 written; 6 total.

Diagram showing supply shifting right / downward (1) by the value of the subsidy (1).  
 New equilibrium shown: P falls and Q rises (1).  
 Consumer benefit: lower price (P2) compared with P1 (1).  
 Producer receives higher effective price (P2+subsidy) (1).  
 Government spends  $Q2 \times \text{subsidy}$  (rectangle) (1).  
 Written analysis: if demand is elastic, quantity rises substantially (1); if demand is inelastic, most of the subsidy accrues to producers (1).

**3(d) Discuss whether or not subsidies are the best policy to promote the use of EVs.** 8 See Guidance table at the end of the mark scheme.

*In assessing each answer, use the table at the end of the mark scheme.*

#### **Why it might / reasons for:**

- Direct financial incentive – effective in shifting consumer decisions
- Simple to administer and easily understood by consumers
- Can be targeted to specific groups (e.g. low-income households)
- Supports domestic EV producers as consumption grows

#### **Why it might not / reasons against:**

- High fiscal cost – subsidies are paid even to buyers who would have bought an EV anyway
- May primarily benefit richer households who can afford the upfront cost
- Alternative policies (e.g. carbon taxes, investment in charging infrastructure, congestion charges) may be more cost-effective
- Regulatory mandates (ICE ban by a date) may be

|             |                                                                                                                                                                                                                                                                                                                                                                                                                                                   |   |                                                   |
|-------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---|---------------------------------------------------|
|             | <p>more certain</p> <ul style="list-style-type: none"> <li>• Risk of government failure if subsidy design favours particular firms (producer capture)</li> </ul>                                                                                                                                                                                                                                                                                  | 2 | 2 marks for definition.                           |
| <b>4(a)</b> | <b>Define productivity.</b>                                                                                                                                                                                                                                                                                                                                                                                                                       |   |                                                   |
|             | Output per unit of input (1) usually output per worker or per hour worked (1).                                                                                                                                                                                                                                                                                                                                                                    |   |                                                   |
| <b>4(b)</b> | <b>Explain two reasons why productivity may be low in a country.</b>                                                                                                                                                                                                                                                                                                                                                                              | 4 | Any two.                                          |
|             | <p>Low educational attainment (1) leading to low human capital (1).</p> <p>Low investment in capital (1) workers have less equipment and technology (1).</p> <p>Restrictive labour market regulation (1) reducing the incentive for firms to hire and invest (1).</p> <p>Poor infrastructure (1) slowing the movement of goods and people (1).</p> <p>Weak competition (1) reduces incentive for firms to improve efficiency (1).</p>             |   |                                                   |
| <b>4(c)</b> | <b>Analyse the effects of an increase in labour productivity on the economy.</b>                                                                                                                                                                                                                                                                                                                                                                  | 6 | Coherent analysis.                                |
|             | <p>Lower unit labour costs (1) firms more competitive (1) exports may rise (1).</p> <p>Real wages can rise (1) raising household incomes and consumption (1).</p> <p>Higher LRAS (1) shifts right (1) potential output rises (1).</p> <p>Lower cost-push inflation (1) as costs fall (1).</p> <p>Higher tax revenue (1) as GDP rises (1) helps fiscal position (1).</p> <p>Higher profits (1) more investment (1) positive feedback loop (1).</p> |   |                                                   |
| <b>4(d)</b> | <b>Discuss whether or not supply-side policies are effective in raising long-run economic growth.</b>                                                                                                                                                                                                                                                                                                                                             | 8 | See Guidance table at the end of the mark scheme. |
|             | <i>In assessing each answer, use the table at the end of the mark scheme.</i>                                                                                                                                                                                                                                                                                                                                                                     |   |                                                   |

**Why it might / reasons for:**

- Directly target productive capacity, raising LRAS
- Education and training raise the quality of human capital
- Lower corporation tax can attract FDI and boost investment
- Labour market reform can reduce structural

unemployment

- Do not directly raise inflation, unlike demand-side policies

**Why it might not / reasons against:**

- Long time lags – effects may take many years
- Short-term costs (unemployment, lost tax revenue)
- Costly and of uncertain benefit – government failure risk
- Deregulation may lead to inequality and less-secure jobs
- Without demand, supply-side gains may not translate into output

**5(a) Identify two components of the current account of the balance of payments.** 2 Any two.

Trade in goods (1)

Trade in services (1)

Primary income (investment income and compensation of employees) (1)

Secondary income (current transfers) (1)

**5(b) Explain two reasons why a country may run a persistent current account deficit.** 4 Any two.

Strong currency (1) imports cheap and exports expensive (1).

Higher inflation than trading partners (1) makes exports uncompetitive (1).

Low productivity (1) raising unit labour costs relative to competitors (1).

Strong consumer demand (1) pulling in imports faster than exports grow (1).

Structural decline in exporting industries (1) loss of comparative advantage (1).

**5(c) Analyse the likely effects of a 15% depreciation on the balance of payments.** 6 Coherent analysis; credit mentions of Marshall-Lerner and J-curve.

Exports become cheaper (1) potentially raising demand and export revenue (1).

Imports become more expensive (1) quantity of imports may fall (1).

Outcome depends on Marshall-Lerner condition (1) elasticities must sum to more than 1 for a net improvement (1).

J-curve effect (1) short-run deterioration before long-run improvement (1).

Raises imported inflation (1) may erode the

competitive gains from depreciation (1).  
Debt in foreign currency becomes more costly (1)  
worsening primary income balance (1).

**5(d) Discuss whether or not a floating exchange rate system is better than a fixed system.**

8 See Guidance table at the end of the mark scheme.

*In assessing each answer, use the table at the end of the mark scheme.*

**Why it might / reasons for:**

- Automatic adjustment to trade imbalances
- Monetary policy independence – central bank can target inflation
- No need to hold large foreign exchange reserves
- Shields the economy from external shocks through currency flexibility

**Why it might not / reasons against:**

- Volatility discourages trade and long-term investment
- Can cause sharp depreciations and imported inflation
- Speculation can destabilise the currency
- A fixed system provides certainty and anchors inflation expectations
- Fixed systems suit small, open economies that trade heavily with a larger neighbour

**Guidance table for Questions 2(d), 3(d), 4(d), 5(d)**

| Level | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Marks |
|-------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| 3     | A reasoned discussion which accurately examines both sides of the economic argument, making use of economic information and clear and logical analysis to evaluate economic issues and situations. One side of the argument may have more depth than the other, but overall both sides of the argument are considered and developed. There is thoughtful evaluation of economic concepts, terminology, information and/or data appropriate to the question. The discussion may also point out the possible uncertainties of alternative decisions and outcomes. | 6–8   |
| 2     | A reasoned discussion which makes use of economic information and clear analysis to evaluate economic issues and situations. The answer may lack some depth and development may be one-sided. There is relevant use of economic concepts, terminology, information and data appropriate to the question.                                                                                                                                                                                                                                                        | 3–5   |
| 1     | There is a simple attempt at using economic definitions and terminology. Some reference may be made to economic theory, with occasional understanding.                                                                                                                                                                                                                                                                                                                                                                                                          | 1–2   |
| 0     | A mark of zero should be awarded for no creditable content.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 0     |